

2.78 percent. Exhibit 6.23 provides the results for a more conservative retiree using a lower stock allocation and seeking greater safety with the retiree's PAY Rule. In this case, the baseline withdrawal rate falls to 2.15 percent, with other withdrawal rates reduced across the board. The lower stock allocation and the greater safety sought means that spending must be more conservative. Even with flexible spending strategies, spending can still be higher than otherwise, but it is still quite limited relative to what was feasible for the moderate retiree.

Exhibit 6.23

*Sustainable Spending Rates from an Investment Portfolio over 30 Years
PAY Rule (Conservative Case): Allow for a 5% Chance That Real Wealth
Has Fallen Below \$20,000 by Year 30*

*For a 65-Year-Old Couple, Using a 25/75 Portfolio of Stocks and Bonds
1,000 Monte Carlo Simulations Based on Current Market Conditions
Retirement Date Wealth Level = \$100,000*

			Real	Real	Real	Real	Change	Year 30	
			Spending	Spending	Spending	Remaining	in Real	Spending	
			in 10	in 20	in 30	Wealth	Spending	Relative	Downside
			Years	Years	Years	After 30	at Year	to	Spending
Spending Strategy	Initial Spending Rate	Percentile of Distribution	in 10 Years	in 20 Years	in 30 Years	Years	30	Baseline	Volatility
Constant Inflation- Adjusted Spending (BASELINE)	2.15%	90th	\$2,150	\$2,150	\$2,150	\$217,730	0%	0%	0%
		50th	\$2,150	\$2,150	\$2,150	\$93,220	0%	0%	0%
		10th	\$2,150	\$2,150	\$2,150	\$28,290	0%	0%	0%
Fixed Percentage Withdrawals	4.61%	90th	\$4,810	\$4,460	\$4,120	\$88,760	-11%	92%	-3%
		50th	\$3,410	\$2,610	\$2,190	\$46,580	-52%	2%	-3%
		10th	\$2,360	\$1,570	\$1,130	\$24,030	-75%	-47%	-4%
Endowment Formula—Hybrid	2.86%	90th	\$3,200	\$3,460	\$3,670	\$161,020	28%	71%	-1%
		50th	\$2,660	\$2,520	\$2,460	\$71,900	-14%	14%	-1%
		10th	\$2,260	\$2,030	\$1,810	\$25,560	-37%	-16%	-2%
Endowment Formula—3 Year Moving Average	4.48%	90th	\$4,830	\$4,520	\$4,310	\$98,190	-4%	100%	-2%
		50th	\$3,470	\$2,680	\$2,230	\$49,280	-50%	4%	-3%
		10th	\$2,420	\$1,610	\$1,130	\$25,100	-75%	-47%	-3%